

but it is not in line with achieving Viksit Bharat by 2047. For that, we need around 8.5% growth per year over the entire 22-year period from 2025 to 2047. And since we can expect a slowdown in later years as the economy climbs up the per capita GDP ladder, the “reference rate” we should aim at in the earlier years should be 9% plus.

In other words, Viksit Bharat calls for a growth rate that is 2.5 percentage points higher than at present. This will not be easy. The 1991 reforms raised the longer-term growth rate by about 2 percentage points above the pre-reforms rate. We now need an even larger acceleration.

That will require higher levels of investment and also deeper reforms, implemented more decisively so that we can benefit from higher total factor productivity growth. This will be especially challenging because the international environment is not supportive. The policies of developed countries are also highly uncertain. We will need all the creativity and flexibility we can muster to respond to them. We also face new long-term challenges related to climate change.



The Union Budget 2025-26 focused on boosting consump-

tion, but spending on the social sector and capital building remains flat. Will this be sufficient to drive sustained economic expansion?

I don’t think the tax cut can be viewed as a boost because it might increase consumption. The effect of the Budget on aggregate demand is reflected

might have been undertaken. For example, if the alternative is to increase the minimum wage in the Mahatma Gandhi National Rural Employment Guarantee Scheme, the extra expenditure from that would have generated more consumption demand in the system because that group’s marginal propen-

are the most critical areas where reducing regulatory burden can accelerate growth and investment?

I think this is a very welcome initiative. Our procedures are very complex and place a heavy compliance burden on entrepreneurs. They are much more complicated and time consuming than

“EMPLOYMENT IS A WEAK SPOT. THE PROBLEM IS NOT SOLELY DUE TO INADEQUACY OF SKILLS. I DON’T THINK ENOUGH JOBS CAN BE CREATED IF GROWTH REMAINS 6.4%”

| 57

in the change in the fiscal deficit. Since the deficit is being reduced the net effect is actually contractionary. Once the fiscal deficit is fixed as a target, the effect of a tax reduction, via the additional consumption it generates, has to be compared with the effect of some other expenditure that could have been incurred if the concession had not been given.

It is expansionary only if the increase in aggregate demand because of the consumption increase is greater than the increase that would have come from other expenditure that

sity to consume is much higher. One can of course justify the tax reduction if the idea is to benefit income tax payers, but that is not the same thing.

In any case, short term boosts in demand cannot be viewed as a boost to longer-term growth. That requires action on investment, ease of doing business, improved infrastructure, etc.



The Economic Survey emphasised deregulation and the Budget has announced a high-level committee to review non-financial deregulation. What

those in East Asia. They are a hindrance to doing business especially for small entrepreneurs. That is why one often hears that young entrepreneurs in the tech space often leave the country and set up their businesses abroad.

There are also too many regulations where violation attracts criminal prosecution. A study by Manish Sabharwal found over 15,000 such provisions. We would be much better off relying on economic penalties, which can be increased, if necessary, while avoiding criminal prosecution. Making entrepreneurs